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SAP 2Q26: Healthy growth, slightly noisy on margin

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SAP delivered a good Q2, with a better than expect Current Cloud Backlog (CCB) growth rate and margins below expectations. Management reiterated FY guidance, other than operating income as the recent acquisitions will negatively impact operating income. We see the CCB strength positively and are not worried about the in-quarter margins as software companies can easily manage margins if they are focused (which SAP is). We believe that management has learned and is being conservative in their approach to guidance and commentary - constantly stating how the setup for meeting guidance has improved without leading investors to expect a beat. We see this as a very smart approach given macro etc.

SAP is well protected against AI disruption given the criticality of its software as well as to capture the upside from AI given their approach to AI. With the numbers currently driven by a Cloud transition and longer term upside from AI we like the setup, especially at the current stock price.

Investors were focused on the Current Cloud Backlog (CCB) as a leading indicator of growth and CCB growth was a concern for investors in 4Q. The company yet again delivered better than expected CCB growth, which sets them up for solid growth over the next 12 months. The company also maintained FY guide (except for operating income hit by acquistion costs), which was better than expected as some feared that increasing global uncertainties might further weigh on the outlook.

Operating margins were below expectations, but we believe that is one-time effects of necessary R&D investments and the launch of Autonomous ERP. The company has numerous levers to drive margin improvement, many of which they have already activated (e.g. decreased T&A)

There continues to be concern about the potential impact of the AI disruption on 1) a shift from subscription to consumption and 2) on margins. The company continues to execute and deliver AI capabilities and as was shown in our recent CIO survey (Link) and our discussion with 3 CIOs (link) enterprises would rather buy AI from packaged software providers and do not have any desire to replace these applications.

We believe many of the data points and management comments this quarter echoed with what we have called out in our recent note: SAP: Why we believe the bear case is wrong.

In summary, this was a good quarter for a business delivering improving growth and increasing margins in an increasingly concerning macro conditions. The fact that SAP delivers critical solutions for some of the largest / most complex companies in the world limits the downside risks and should result in the stock outperformance.

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BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	23 Jul 2026 Closing Price	Price Target	TTM Rel. Perf.	Adjusted EPS Cur	Adjusted EPS 2025A	Adjusted EPS 2026E	Adjusted EPS 2027E	Adjusted P/E (x) 2025A	Adjusted P/E (x) 2026E	Adjusted P/E (x) 2027E
SAP.GR (SAP)	O	EUR	128.62	**273.00**	(64.6)%	EUR	6.10	**7.71**	**8.72**	21.1	16.7	14.8
OLD				276.00				7.54	9.02			
SAP (SAP)	O	USD	146.38	**319.00**	(66.1)%	EUR	6.10	**7.71**	**8.72**	21.1	16.7	14.8
OLD				323.00				7.54	9.02			
EDME			1,586.63									
SPX			7,408.30									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

SAP, SAP.GR (Outperform, PT $319, €273): SAP delivered a healthy quarter delivering stable revenue and backlog growth, despite concerns around macro environment and conflict in middle-east. Operating margin missed in the quarter and management lowered full year operating profit guidance slightly (due to recent acquisitions). While the bears might focus on the margin, we think SAP can manage their costs and easily deliver margin improvement. We like the stability in cloud backlog growth, which could enable SAP to deliver growth acceleration in 2H26 and FY27.

Overall, we continue to think that SAP is fundamentally a Cloud transition and margin improvement story, and they are executing well on both counts. The company has also moved aggressively to shrink stock based compensation. The value of the business model and the company's ability to execute is shown in the strong backlog and new customer growth. With investors looking for durable growth, healthy margins, immunity to AI disruption and margin improvement, SAP is one of our favorite names. We like the setup for 2H26 and beyond and believe it continues to be a quality compounder. **SAP is a safe haven stock in AI uncertain world**.

We lowered target price from $323 (€276) to $319 (€273) as we rolled forward our forecast and lowered SAP's multiple from 29x to 28x, reflecting step-down in peer group valuation.

VALUATION COMPS TABLE

7/23/2026			Net Cash Per Share		Free Cash Flow (LTM)		Revenue Growth	Valuation Multiples			
	Company	Share Price	$	% of Share Price	Per Share ($)	% Yield	NTM (%)	EV / NTM Revenue	P / FE	Price / FCF (LTM)	PEG Ratio
Bernstein Coverage	Adobe	$211.19	(3.48)	(1.6%)	24.86	11.8%	10.0%	3.1x	8.2x	8.2x	0.6x
	Microsoft	$379.86	(6.32)	(1.7%)	9.78	2.6%	16.2%	7.8x	20.4x	38.7x	1.4x
	Oracle	$119.56	(46.51)	(38.9%)	(8.13)	N/A	33.0%	5.4x	14.8x	N/A	2.6x
	MongoDB	$298.36	28.66	9.6%	7.15	2.4%	18.6%	7.0x	46.6x	40.6x	2.2x
	Salesforce.com	$157.22	(32.98)	(21.0%)	15.67	10.0%	10.0%	3.4x	11.0x	8.8x	3.8x
	HubSpot	$190.66	27.44	14.4%	11.56	6.1%	16.5%	2.2x	13.9x	16.0x	0.5x
	SAP	$147.42	2.15	1.5%	6.82	4.6%	10.6%	4.3x	17.2x	22.7x	1.2x
	Snowflake	$264.61	0.54	0.2%	3.43	1.3%	28.7%	14.1x	122.4x	78.4x	2.3x
	Quantinuum	$55.97	2.17	3.9%	(0.85)	N/A	10.3%	504.5x	N/A	N/A	N/A
	Workday	$127.32	2.13	1.7%	11.25	8.8%	11.0%	2.8x	11.4x	10.6x	0.8x
Other Comp	Autodesk	$204.58	0.93	0.5%	12.75	6.2%	11.7%	5.1x	15.8x	15.8x	1.0x
	ServiceNow	$91.68	(3.64)	(4.0%)	4.39	4.8%	20.0%	5.6x	20.1x	20.7x	0.9x
	Amadeus	$54.90	(6.97)	(12.7%)	4.44	8.1%	6.3%	3.8x	13.1x	12.0x	1.2x
	Datadog	$244.57	9.58	3.9%	2.64	1.1%	24.0%	18.4x	96.8x	90.7x	6.5x

Source: Bloomberg, Bernstein analysis

DETAILS

SAP delivered another good but not perfect quarter with their Q2 results (Exhibit 2). The results were relatively clean with four notable items:

- **Current Cloud Backlog (CCB):** SAP beat expectations for Current Cloud Backlog (Exhibit 4), an area of specific investor concerns after missing street expectations in Q4. While the 26% CC CCB growth was helped by less than 1% by the closure of their Reltio acquisition, the company would still have beat expectations and is well positioned to incrementally beat their FY CCB growth rate. While the beat was not exceptional many investors expected CCB to continue to degrade and stability was a positive signs.

- **Margins** this quarter, for the 1st time in a while, SAP missed their operating margins (Exhibit 5), and we believe that the bears will focus on margins (having switched from focusing on CCB previously). Management explained that the acquisitions plus investments in R&D and marketing impacted margins. That said, software companies are the best companies in their ability to manage their costs and management explained in the call back that they will not be meaningfully increasing hiring / spending in R&D nor marketing for the remainder of the year. While we will be watching the margin, as it is core to our investment thesis, we are not worried that this issue will abate through the remainder of the year.

- **FY Operating Profit guidance:** While management reiterated most of their FY guidance, they lowered the top and bottom of their FY non-IFRS operating profit outlook range by €100B as the dilution effects of the Dremio and Prior Labs acquisitions (which closed in July) are projected to be in excess of €100 million. In other words, excluding the two acquisitions nothing has changed and in fact they may have slightly increased their guide.

- **Management confidence:** We believe that the management team delivered a very high level of confidence in their ability to execute and deliver to their guidance. After the Q4 issues where many on the buy and sell side interpreted the management commentary after Q4 earnings as a sign of a strong CCB beat, we believe, they were careful not to talk about beating guidance which makes a lot of sense given the macro issues (even though.

Investor concerns increased during the quarter after mixed results across software / tech, including IBM's results (IBM 2QFY26 earnings) and after SAP's agreement with the European Commission on maintenance (SAP: From migration deadlines to migration economics) as well as all the noise; news flow; and AI concerns impacting software this is exactly what we were looking for in our joint coverage. The stock was up ~4% in the aftermarket.

EXHIBIT 2: **SAP 2Q26 Results vs. Consensus summary**

(in €B, except for per share items)					Growth in	
2Q26	**Reported**		**Consensus**	**Surprise**	**EUR**	**CC**
Current Cloud Backlog	€	22.93	--	-	27%	26%
Cloud Revenue	€	6.28	€ 6.26	0%	22%	24%
SaaS/PaaS	€	5.05		-	23%	25%
Cloud ERP Suite	€	5.53		-	25%	27%
Extension Suite	€	0.69		-	11%	12%
IaaS	€	0.07		-	-23%	-22%
Software Licenses Revenue	€	0.13	€ 0.14	-4%	-32%	-32%
Software Support Revenue	€	2.44	€ 2.42	1%	-8%	-7%
Software license and Support	€	2.57	€ 2.57	0%	-9%	-8%
Services Revenue	€	1.03	€ 1.00	3%	-3%	-2%
Total Revenue	**€**	**9.88**	**€ 9.85**	**0%**	**9%**	**11%**
IFRS Operating Profit	€	2.64	--	-	8%	
Non-IFRS Operating Profit	€	2.74	€ 2.89	-5%	7%	9%
IFRS Operating Margin		26.8%	--	-	-0.5pp	
Non-IFRS Operating Margin		27.8%	29.3%	-150bps	-0.7pp	-0.4pp
IFRS EPS	**€**	**1.88**	**€ 1.76**	**7%**		

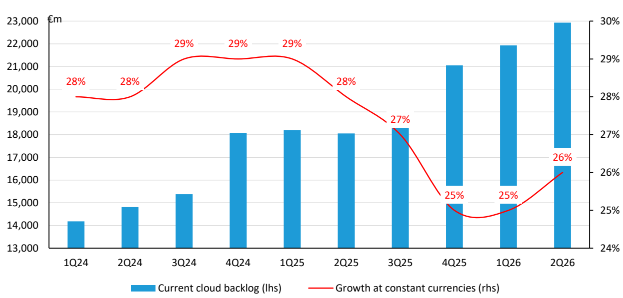
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 3: **SAP: 2Q26 results - Bernstein vs Visible Alpha consensus**

€m	2Q25	2Q26		2Q26 estimates			
	Actual	Actual	*Change %*	Bernstein	*Delta*	Consensus	*Delta*
Total revenue	9,027	9,878	*9%*	9,915	*0%*	9,832	*0%*
Growth at constant currencies (%)	12%	11%	*-100bp*	12%	*-100bp*	11%	*+0bp*
- o/w cloud subscription revenue	5,130	6,281	*22%*	6,338	*-1%*	6,239	*1%*
Growth at constant currencies (%)	28%	24%	*-400bp*	25%	*-100bp*	23%	*+100bp*
- o/w maintenance revenue	2,642	2,439	*-8%*	2,415	*1%*	2,426	*1%*
Growth at constant currencies (%)	-3%	-7%	*-400bp*	-7%	*+0bp*	-7%	*+0bp*
- o/w license revenue	194	131	*-32%*	136	*-4%*	135	*-3%*
Growth at constant currencies (%)	-13%	-32%	*-1900bp*	-30%	*-200bp*	-30%	*-200bp*
Non-IFRS operating income	2,568	2,743	*7%*	2,930	*-6%*	2,892	*-5%*
Non-IFRS operating margin (%)	27.6%	27.8%	*+20bp*	29.6%	*-180bp*	29.4%	*-160bp*
Non-IFRS EPS (€)	1.49	1.59	*7%*	1.84	*-14%*	1.75	*-9%*

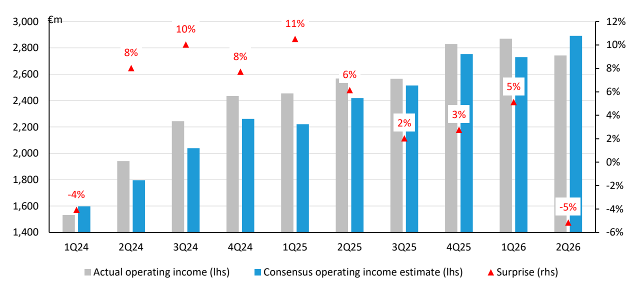
Source: SAP (FY to end-December), Visible Alpha consensus, Bernstein analysis and estimates

EXHIBIT 4: **SAP: Current Cloud Backlog**



Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 5: **SAP: operating income beat/miss vs Visible Alpha consensus**



Source: SAP (FY to end-December), Visible Alpha consensus, Bernstein analysis

OUR HIGH LEVEL VIEW ON THE COMPANY

Overall, SAP delivered a strong start to the year, which should help re-rate the stock.

There are several positives in SAP's Q2 print.

1. As mentioned earlier, SAP beat expectations for Current Cloud Backlog, an area of specific investor concerns after missing street expectations in Q4. While the 26% CC CCB growth was helped by less than 1% by the closure of their Reltio acquistion, the company would still have beat expectations and is well positioned to incrementally beat their FY CCB growth rate.

    - This quarter CCB growth was larger than Cloud revenue growth which sets the company for solid Cloud growth in the back half of the year, helping to alleviate investor concerns.

    - The solid CCB growth is particularly important, as it takes away a key argument for the bears. It underpins SAP's strong cloud growth prospects in the coming quarters. It also will help the company meet / beat their FY CCB guide.

2. Yet again, despite rising macro uncertainties, SAP's reiteration of FY26 guidance. This demonstrates the strength of the ERP migration cycle and strong momentum in the supply chain.

3. Management stated on the call that while macro continues to be a concern and that the war in the Middle East could have an impact on growth they are currently only seeing a few deals with companies directly impacted and in the region and that this is not impacting their ability to deliver.

DRILLING INTO CURRENT CLOUD BACKLOG

Current Cloud Backlog (CCB) is a very strong leading indicator of growth of the upcoming 12 months especially in a company with a relatively small quantity of consumption revenue. As consumption revenue increases over time, with the shift to outcome based and consumption based AI, the correlation between strong CCB growth and strong revenue growth will decrease. But frankly this is going to be a problem across software due to the effects of AI and AI pricing models.

Investors have been concerned that SAP's CCP was decelerating meaningfully and when in Q4 the company guided to CCB growth but sounded quite confident as to the likelihood of a beat. The company then delivered a more in-line CCB driven by larger ramping deals and government deals with exit terms (which are not included in backlog as per accounting rules). and many investors focused even more on CCB growth. Since then the company has been very careful as to their guidance and commentary, which makes sense especially given macro.

This quarter the company beat on CCB and even after removing the tailwind to CCB growth driven by the Reltio acquisition SAP beat. While some will argue that CCB growth can be managed by a software company via driving more deals to close (e.g. with discounting and incentives, and timing of renewals), the process of using bundling, discounting and incentives are time honored approaches to meeting / beating revenue guidance especially in the more revenue fluid days of license and maintenance software.

The fact remains that CCB drives revenue growth over the upcoming 12 months and delivering better than expected constant currency CCB growth sets SAP up well to meet / beat on revenue going forward.

We see this as a good sign for the business and the ability of SAP to meet / beat FY guidance as well as setting up next year's for strong growth. It is also important to note that this quarter CCB grew faster than Cloud revenue which is also an incremental positive sign.

OPERATING MARGIN COLOR

The issue that we believe the bears will focus on is the fact that operating margins missed for the 1st time in a long time helping to cause an operating income miss (Exhibit 5). Operating margin improvement is a core part of our SAP outperform thesis as we believe SAP has multiple levers they can pull to increase margins as they drive their Cloud transition.

This quarter management explained that a couple of factors impacted overall margins including

- A meaningful increase in R&D expenses as the company hired high-level data scientists and AI experts as well as spending more on tokens within R&D. Management explained in the call back that they do not need to continue to hire at this rate, and they have implemented systems to manage token and model usage across the firm. They said that R&D will be much flatter for the remainder of the year.

- S&M also increased this quarter as the company spent on the launch of Autonomous ERP and that these were one-time investments in the launch.

- Cloud margins were also down QoQ, but they do not expect that to be a new trend.

Investors need to remember that margins and especially operating margins are more manageable by software companies than most companies, and we have already seen the management team focus on margins. We expect that they will continue their drive for YoY margin improvement.

That said, we believe that the company will take the advantage of driving revenue growth over margin improvement but not at the expense of lower long term margins so it is possible we could see the margin improvement slow near term. We will continue to monitor margin improvement, but we are not concerned.

While AI is overhanging all of software, we believe that the SAP story is driven by the Cloud transition and that over time AI will be a tailwind to growth. ERP is, we believe, the most immune to AI disruption across enterprise software and that if an ERP vendor can deliver valuable AI functionality they will be able to monetize. SAP has been one of the most AI innovative companies in our coverage, and we believe that over time AI will be a tailwind to growth.

In summary, this was a good quarter for a business delivering improving growth and increasing margins in an increasingly concerning macro conditions. The fact that SAP delivers critical solutions for some of the largest / most complex companies in the world limits the downside risks and should result in the stock outperformance.

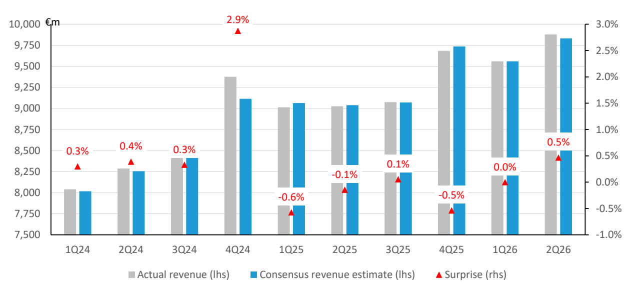
READ THROUGH TO THE REST OF THE SOFTWARE

We are starting to see stability in core enterprise application software businesses which is consistent with our recent CIO survey (Link) and our discussion with 3 CIOs (link). Enterprises are not going to replace systems of record or systems that touch on legal or regulatory issues. In addition, they would rather buy AI from packaged software vendors than build it themselves.

SAP's quarterly results show stability in spending in critical enterprise software and should be seen as a positive sign for results from companies such as Workday and Oracle. We await Microsoft's upcoming results (Microsoft 4Q26 preview: Stagnation or breakout?) for further signs of IT spending.

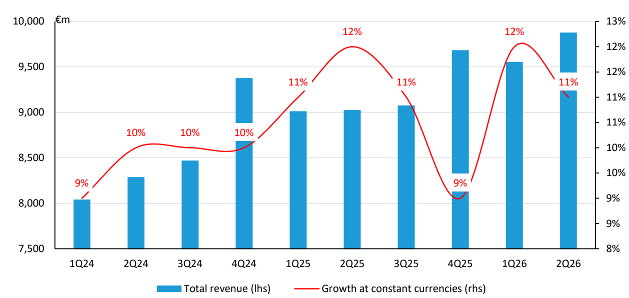
The results also show that while the Middle East conflict is having an impact it is still having a relatively subdued impact on spending for enterprise software.

EXHIBIT 6: **SAP: revenue beat/miss vs Visible Alpha consensus**



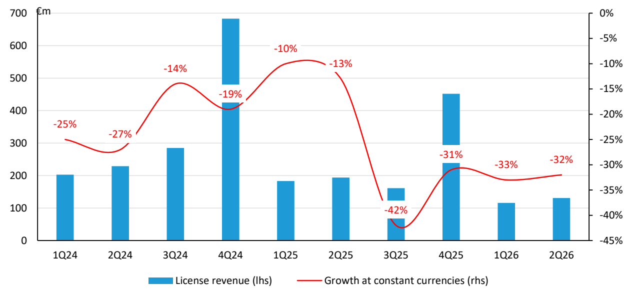
Source: SAP (FY to end-December), Visible Alpha consensus, Bernstein analysis

EXHIBIT 7: **SAP: Total revenue**



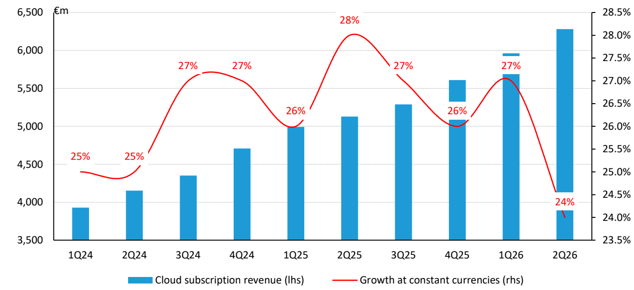
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 8: **SAP: License revenue**



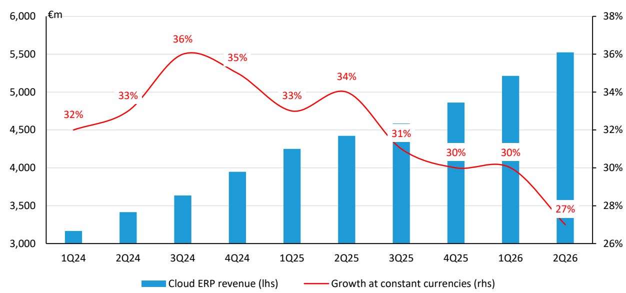
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 9: **SAP: Cloud subscription revenue**



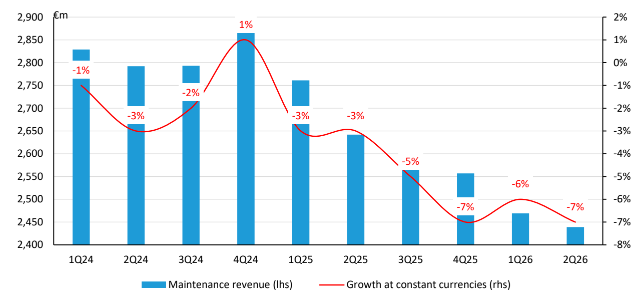
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 10: **SAP: Cloud ERP revenue**



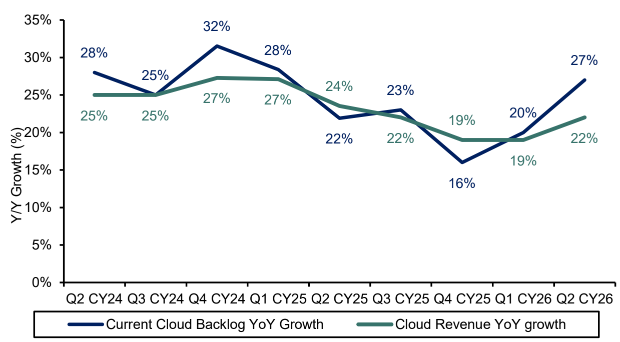
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 11: **SAP: Maintenance revenue**



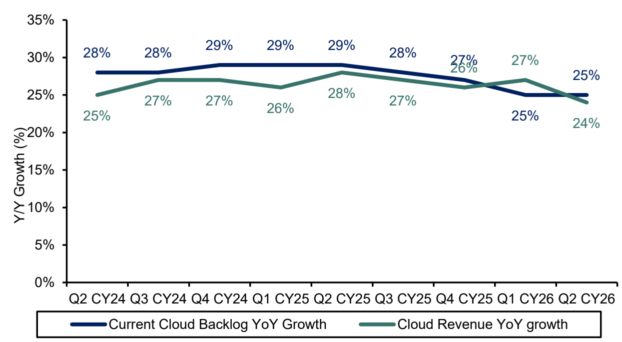
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 12: **Cloud revenue vs. backlog growth on a reported basis**



Source: Company reports, Bernstein analysis

EXHIBIT 13: **Cloud revenue vs. backlog growth on a CC basis**



Source: Company reports, Bernstein analysis

KEY TAKEAWAYS

This was a solid quarter with the company beating on Current Cloud Backlog, delivered in-line revenues while missed on operating profits. They also reiterated FY revenue guidance and lowered slightly on operating profit due to acquisition effects, which was positively received and gave color that the guidance incorporated what we believe was reasonable conservatism especially considering macro conditions.

- **Current Cloud backlog**: investors have been very concerned about Current Cloud Backlog growth, which missed consensus 2 quarter ago and stabilized at 25% last quarter. This quarter the company delivered 26% CCB growth, which is ahead of consensus sitting around 24%. While management continues to guide to CCB decelerating slightly it is mostly due to prudence given the heightened macro uncertainty more than anything else.

- CY27 is expected to accelerate not just because of the strength of the business and the continued pressure on clients to upgrade as End of Support of ECC is approaching but also because large deals that closed in 4Q25 are ramping deals. In other words, those deals will continue to grow in FY27 adding to the backlog already in place to drive CY27 revenue growth.

- **Macro:** despite heightened macro volatility, management saw solid pipeline and did not see any major backdrop. While in the Middle East a few deals got delayed here and there, it was not on a broader scale. Management is incorporating a bit of additional safety into their reiteration of CCB guidance.

- **FX** has improved substantially since Q1, and while still a headwind, is much less in magnitude as compared to prior quarters. (Exhibit 14)

- **Cloud growth:** Cloud revenue grew reached 6.3B increasing 22% YoY as reported and 24% in CC. Cloud revenue growth was not the strongest this quarter, but with CCB growth higher than cloud revenue growth we believe the gap will close.

- **Operating margin miss:** non-IFRS gross margins were down slightly YoY at 73.4% while Cloud gross margins were also down slightly (-0.6pp) YoY to 74.6% (Exhibit 15). Operating profit grew 7% (9% in CC) to $2.7B, 5% below consensus, due to slower cloud revenue growth, investments in to R&D, marketing expense with the launch of autonomous enterprise, and M&A. Although it has been a while since the company missed on margins (Exhibit 5), we believe these opex levers can be easily controlled by the company. The fact that company missed this quarter but is only changing the FY operating income guidance by M&A effect shows that company is very focused on delivering operating efficiencies in the 2H.

  - SAP has repeatedly demonstrated good execution on cost control and greater operational efficiency, and we believe this to continue. Longer term, management continues to expect driving operating leverage, where the increase in total expenses versus the increase in revenues will be contained in a range of 80% to 90% for the coming years.

- **Acquisitions:** Management also see current pressured market might offer attractive M&A opportunities. the company has made a couple smaller acquisitions this year: 1) Reltio (master data management software), which was closed in May, 2) Dremio (data lakehouse), which was closed in July; and 3) Prior Labs (tabular foundation model), which was closed in July. All three combined contribute to less than 1pt impact on FY26 revenue growth. In short, management has flexibility on and will manage their FCF wisely to focus on value accretive activities or increase return to shareholders.

- **Leverage AI to drive efficiency:** The company is expecting to drive €2B in AI driven operational efficiencies within the company by the end of CY28. SAP is one of the few companies in our coverage to put a value to their AI efficiency initiatives.

- **Supply chain**: We have been writing about the importance of supply chain as a driver of SAP's revenue growth (Global Software: The coming AI supercycle in Supply Chain Software). The conflict in the Middle East and especially the closures of the Straits of Hormuz has put substantial pressure on supply chains across numerous industries globally. We believe that this will further focus companies on the need to upgrade their supply chain software which we see as very good for SAP.

EXHIBIT 14: **FX headwinds has improved substantially from Q1 to Q2**

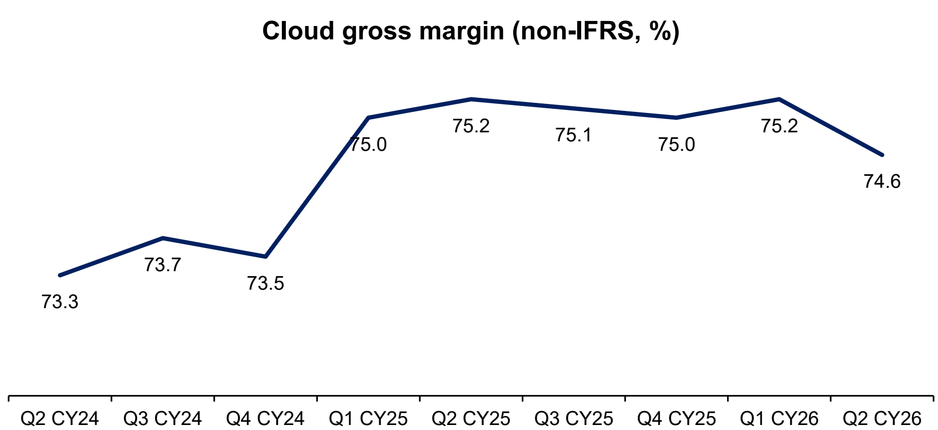
2Q26 FX Impact

	€ millions	% reported	% CC	FX impact
Cloud Revenue	6,281	22%	24%	-2%
Current Cloud Backlog	22,929	27%	26%	1%
SaaS/PaaS Revenue	6,216	23%	25%	-2%
Cloud ERP Suite	5,525	25%	27%	-2%
Extension Suite	692	11%	12%	-1%
IaaS Revenue	65	-23%	-22%	-1%
Software Licenses and support	2,570	-9%	-8%	-1%
Cloud & Software Revenue	8,851	11%	13%	-2%
Services	1,027	-3%	-2%	-1%
Total Revenue	9,878	9%	11%	-2%

Source: Company reports, Bernstein analysis

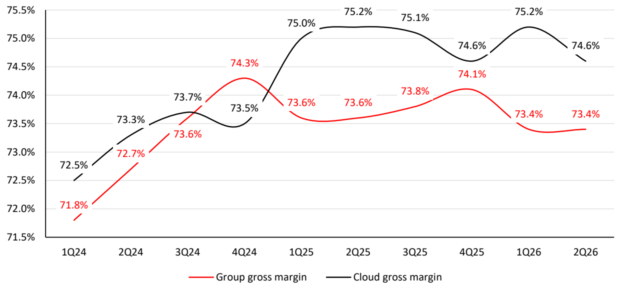
- **All signs point to continued momentum in the cloud transition story**: the ERP cloud transition story continues to play out with Cloud ERP Suite this quarter growing 25% (27% in CC). At the same time, Cloud GM declined slightly this quarter but has significantly improved from a couple quarters ago (Exhibit 15).
- **Share repurchase**: in January 2026, SAP announced a new share repurchase program with an aggregate volume of up to 10 billion and a term until December 31, 2027. As of June 30, 2026, the company has purchased approximately $2.6B under the new program.

EXHIBIT 15: **Cloud gross margin is improving, driven by scale efficiency and more favorable mix shift to ERP**



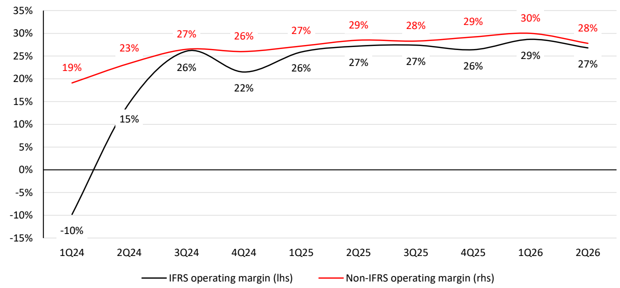
Source: Company reports, Bernstein analysis

EXHIBIT 16: **SAP: Gross margin**



Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 17: **SAP: Operating margin**



Source: SAP (FY to end-December), Bernstein analysis

GENERATIVE AI

We have written numerous times recently and specifically about SAP (SAP: Why we believe the bear case is wrong) on the debate of a SaaS Apocalypse. Specifically, we disagree with the bear arguments, especially on SAP, and believes that AI is more likely to be a growth and margin expansion lever for SAP's core than an existential threat, provided SAP executes on embedding AI into its suite rather than ceding that layer to third parties. The company is already positioning AI as a native part of S/4, supply chain products, and its data cloud, aiming to increase value and deepen lock in rather than just defend revenue.

SAP has been developing Generative AI capabilities for the last 2+ years in a relatively quiet (at least compared to some other software companies in our coverage) and thoughtful way. This year at Sapphire 2026, SAP unveiled Autonomous Enterprise along with many other innovations. (Quick Take: SAP Sapphire 2026 - In the right direction, but execution and speed will be crucial) Although many products are still in beta or yet to be launched, we note the progress they have been making:

- SAP has learned over the past year that building on Joule's platform wasn't the easiest due to a lack of development tools. Hence Joule Studio 2.0, the platform to build agents, is more development focused with enriched tools for partners and customers. SAP has also realized that its key advantage in the agentic era is its data and context, and therefore is more willing to open up the other parts of the dev ecosystem, including third party models and IDE environments (model and IDE agnostic).

- The company has also realized that agents need to not only understand SAP but also non-SAP data, on a unified semantic layer. Hence, they are embracing more openness in Business Data Cloud, through BDC connect, which already works (or soon will) with Databricks, Snowflake, Google BigQuery, Microsoft Fabric (3Q), and AWS.

  - This is an important step for SAP which has historically held their data model closely but in a Gen AI world the information in the semantic data model is critical for gaining value from data. One should not worry that SAP will lose out on the value of the model and access to the customer data as customers will be paying for use of the Business Data Cloud on usage basis. Please note that SAP is paying royalties to Databricks the version of Databricks embedded in the Business Data Cloud.

- SAP has long supported the idea of using small specialized models when most in the industry was going for the bigger and better. The company still holds this opinion that not every agent or use case needs the biggest frontier model, and they will keep testing and switching models underneath their agents and assistants. They see this approach, and we agree, as a competitive advantage since it should deliver the lowest hallucination; the fastest performance and the best cost if executed correctly.

- We also see SAP double down on Forward Deployed Engineers to drive adoption of AI. (Forward Deployed Engineering (FDE): Where AI software meets the real world)

- Competition will be particularly fierce at the orchestration layer, but SAP argues that they have a right to win within back office (ERP, HCM, etc.) given its deep domain and semantic knowledge and the fact that it supplies the fundamental ERP and HCM functionality that will not be replaced by AI.

  - The ERP processes are also arguably the most complex. When the company started to harmonize data modules at SAP, they saw 7.3 million data fields that are connected through knowledge graphs that live in SAP (and is their IP). SAP owns so much domain knowledge and know-hows that no generic solution provider or competitor would be able to easily handle this level of complexity. This again, makes SAP the best provider to scale agentic AI on these highly critical, highly complex ERP uses cases.

- What the company is focusing on doing now is how to translate all this domain expertise and knowledge into AI. The company has made some fundamental decisions earlier this year on how they can change the architecture to better integrate with the new agentic technology. The company is also pairing together the industry consultants, data scientists and product managers in a team to deliver both performance and practicality.

  - As we discussed in our agent primer (Generative AI 401: Agents (under the hood)) that the LLM-powered agents speak a somewhat different language, and mapping from code logic to agents are not exactly one to one. How best to ensure results consistency while allowing enough flexibility in the steps is more of an art than science and will take time to figure out. SAP has embarked on this path to figure out how best to translate its deep domain knowledge into the agentic system.

QUARTERLY RESULTS

SAP delivered a largely in-line quarter (Exhibit 2):

- Cloud growth momentum remains strong. Cloud revenue is up 22% (24% in CC), slightly above consensus, driven mainly by 25% (27% in CC) growth in Cloud ERP Suite. Non-IFRS Cloud gross profit dollars grew 22% (23% in CC) and Cloud gross margin came in at 74.6% this quarter (Exhibit 15).

  - Note that the Cloud ERP Extensions, which includes the transactional offerings (e.g. temporary workers) continue to show weakness due to macro. We are not concerned as this will bounce back when macro improves and meanwhile the Cloud ERP Suite continues to show strength growing faster than its peers.

- Current cloud backlog grew 27% (26% in CC) to €22.9 billion, slightly ahead of cloud revenue growth in CC this quarter.

- Non IFRS Operating profit of €2.74 billion grew 7% (9% in CC), 5% below consensus. Non-IFRS Operating Margins of 27.8% is also 150bps below consensus, due to investmnets in R&D and marketing this quarter, as well as impact from acquisitions.

- License revenue decreased -32% (-32% in CC) as customers continue to shift to Cloud

- Software Support revenue came slightly ahead of consensus and down -8% (-7% in CC). The strength in support means that there is simply much more maintenance revenue that SAP has the opportunity to shift to Cloud.

GUIDANCE

The company maintained its FY26 Revenue Outlook and slightly lowered Operating profit outlook:

- Maintained non-IFRS cloud revenue guide of €25.8 – 26.2 billion in CC, or up 23% to 25% in CC.

- Maintained non-IFRS cloud and software revenue guide at €36.3 – 36.8 billion, or up 12-13% in CC

- Slightly lowered non-IFRS operating profit guide to €11.8 – 12.2 billion or up 13%-17% in CC, from €11.9 – 12.3 billion, or up 14-18% in CC, due to the dilutive impact of the Dremio and Prior Labs acquisitions that were closed in July.

- Maintained FCF guide of €10 billion. We continue to believe that the company is focused on driving improving operating profit and FCF.

- SAP expects its effective tax rate to be approximately 29%.

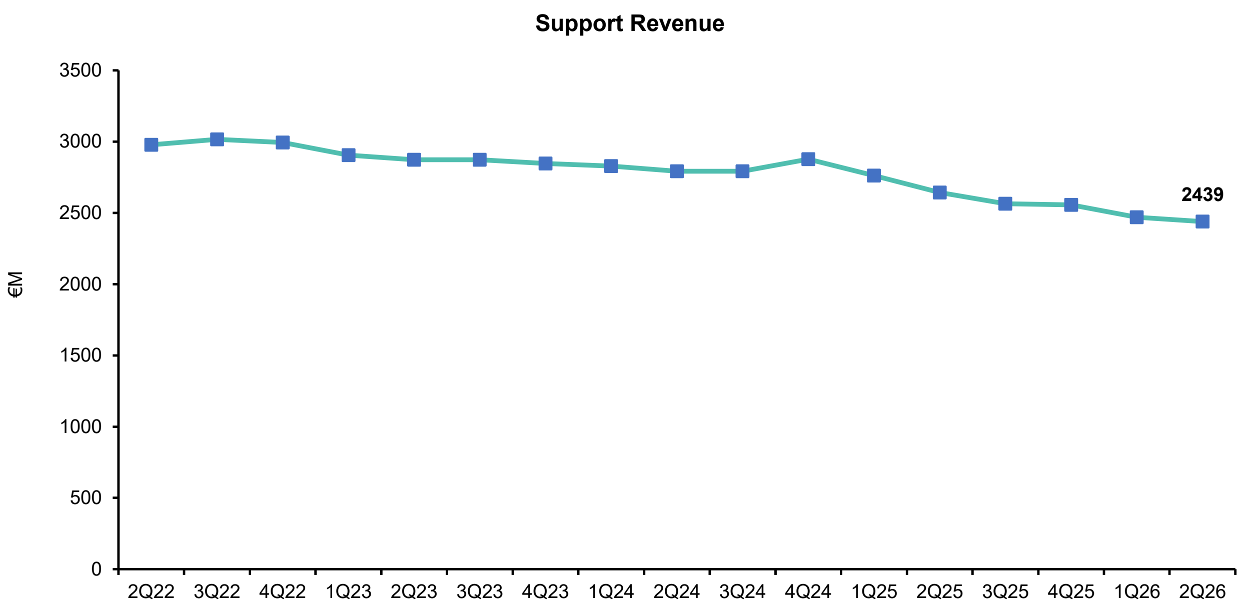
- SAP continues to expect current cloud backlog growth in CC to slightly decelerate in 2026.

EXHIBIT 18: **SAP: FY26 guidance at end-2Q26**

	SAP guidance for FY26 at end-2Q26			Pre-2Q Visible Alpha consensus		Bernstein
	At constant currencies (cc)	FX assumptions	Implying on reported terms	At const. curr.	Reported terms	estimates
Cloud revenue	+23-25% cc to €25.8-26.2bn	-1.5pp	€25.5-26.0bn, with mid-point at €25.8bn	+24% cc	€25.6bn	€25.9bn
Cloud and software revenue	+12-13% cc to €36.3-36.8bn	-1.5pp	€36.0-36.3bn, with mid-point at €36.1bn	+12% cc	€36.0bn	€36.4bn
Operating income	+13-17% cc to €11.8-12.2bn	-2.0pp	€11.6-12.0bn, with mid-point at €11.8bn	+15% cc	€11.9bn	€12.1bn
FCF			c.€10.0bn		€9.94bn	€10.1bn

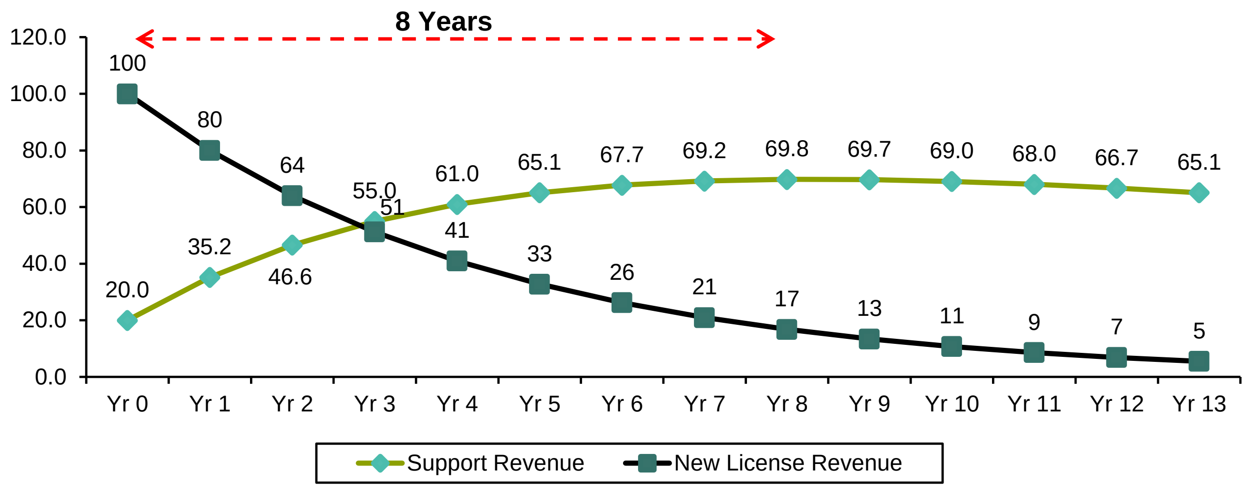
Source: SAP (FY to end-December), Visible Alpha consensus, Bernstein analysis and estimates

EXHIBIT 19: **Support revenue has remained flattish over the past four years and only slightly came down in recent quarters**



Source: Company reports, Bernstein analysis

EXHIBIT 20: **For a hypothetical company with 4% maintenance churn and maintenance revenue annual contract value (ACV) equal to 25% of the license price, maintenance revenue will grow for 8 years even if new license revenue is shrinking 20% per year**



Source: Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 21: **SAP Income Statement**

€ Millions, except otherwise noted

Income statement - Pro Forma	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	Q126	Q226	Q326E	Q426E
Software revenue	1,768	1,400	990	729	583	467	116	131	121	362
Cloud subscription and support revenue	13,665	17,140	21,023	25,797	32,022	39,312	5,962	6,281	6,564	6,990
Software and cloud subscription revenue	**15,433**	**18,540**	**22,013**	**26,526**	**32,605**	**39,779**	**6,078**	**6,412**	**6,684**	**7,352**
Support revenue	**11,496**	**11,290**	**10,525**	**9,749**	**8,923**	**7,876**	**2,469**	**2,439**	**2,422**	**2,419**
Cloud and Software revenues	**26,929**	**29,830**	**32,539**	**36,275**	**41,528**	**47,655**	**8,547**	**8,851**	**9,106**	**9,771**
Service revenue	**4,279**	**4,346**	**4,261**	**4,247**	**4,735**	**5,430**	**1,007**	**1,027**	**1,089**	**1,124**
Total Revenue	**31,207**	**34,176**	**36,800**	**40,522**	**46,263**	**53,085**	**9,554**	**9,878**	**10,195**	**10,895**
Cost of Cloud and Software	(5,075)	(5,843)	(6,462)	(7,610)	(9,013)	(10,663)	(1,767)	(1,858)	(1,914)	(2,071)
Cost of services	(3,028)	(3,322)	(3,192)	(3,163)	(3,575)	(4,100)	(774)	(768)	(781)	(840)
Research and development	(5,610)	(6,508)	(6,629)	(7,179)	(7,824)	(8,766)	(1,700)	(1,843)	(1,758)	(1,878)
Sales and marketing	(7,581)	(8,856)	(8,580)	(9,147)	(10,132)	(11,158)	(2,083)	(2,260)	(2,337)	(2,468)
General and administrative	(1,175)	(1,408)	(1,469)	(1,522)	(1,632)	(1,835)	(342)	(392)	(413)	(375)
Other	(17)	(85)	(48)	(36)	-	-	(22)	(14)	-	-
Total Operating Expenses	**(22,487)**	**(26,022)**	**(26,381)**	**(28,658)**	**(32,175)**	**(36,522)**	**(6,688)**	**(7,135)**	**(7,203)**	**(7,632)**
Operating income	**8,720**	**8,154**	**10,419**	**11,865**	**14,087**	**16,563**	**2,866**	**2,743**	**2,993**	**3,263**
Other non-operating income	(24)	(298)	118	(97)	(177)	(200)	24	(39)	(39)	(43)
EBIT	8,696	7,856	10,537	11,768	13,911	16,363	2,890	2,704	2,953	3,221
Financial Income, net	(470)	(63)	(229)	984	(88)	276	(58)	(61)	550	553
Income from continuing operations before tax	8,226	7,793	10,308	12,752	13,823	16,638	2,832	2,643	3,503	3,773
Taxes	(2,412)	(2,513)	(3,132)	(3,889)	(4,147)	(4,992)	(830)	(815)	(1,080)	(1,164)
Income from continuing operations	5,814	5,280	7,176	8,863	9,676	11,647	2,002	1,828	2,423	2,610
Loss from discontinued operations, net of tax	2,547	-	-	-	-	-	-	-	-	-
Net Income	**8,360**	**5,279**	**7,176**	**8,863**	**9,676**	**11,647**	**2,002**	**1,828**	**2,423**	**2,610**
Non controlling interests	131	6	(10)	2	-	-	(1)	3	-	-
Net Income attributable to SAP	8,491	5,285	7,166	8,865	9,676	11,647	2,001	1,831	2,423	2,610
EPS-Basic - Continued Operations	4.98	4.53	6.15	7.73	8.72	10.72	1.72	1.59	2.12	2.31
EPS-Diluted - Continued Operations	**4.94**	**4.49**	**6.10**	**7.71**	**8.72**	**10.72**	**1.71**	**1.58**	**2.12**	**2.31**
Basic share count (M)	1,168	1,166	1,166	1,147	1,110	1,087	1,163	1,153	1,141	1,131
Diluted share count (M)	1,178	1,178	1,174	1,149	1,110	1,087	1,168	1,158	1,141	1,131
Key ratios										
Overall gross margin	74.0%	73.2%	73.8%	73.4%	72.8%	72.2%	73.4%	73.4%	73.6%	73.3%
R&D as % of sales	18.0%	19.0%	18.0%	17.7%	16.9%	16.5%	17.8%	18.7%	17.2%	17.2%
S&M as % of sales	24.3%	25.9%	23.3%	22.6%	21.9%	21.0%	21.8%	22.9%	22.9%	22.6%
G&A as % of sales	3.8%	4.1%	4.0%	3.8%	3.5%	3.5%	3.6%	4.0%	4.1%	3.4%
Operating margin	27.9%	23.9%	28.3%	29.3%	30.5%	31.2%	30.0%	27.8%	29.4%	30.0%
Tax rate	29.3%	32.2%	30.4%	30.5%	30.0%	30.0%	29.3%	30.8%	30.8%	30.8%
Net margin	26.8%	15.4%	19.5%	21.9%	20.9%	21.9%	21.0%	18.5%	23.8%	24.0%
Sequential change										
Cloud and Software revenue	1.5%	10.8%	9.1%	11.5%	14.5%	14.8%	-0.8%	3.6%	2.9%	7.3%
Total revenue	1.1%	9.5%	7.7%	10.1%	14.2%	14.7%	-1.3%	3.4%	3.2%	6.9%
Operating income	8.6%	-6.5%	27.8%	13.9%	18.7%	17.6%	1.3%	-4.3%	9.1%	9.0%
Net income	83.8%	-36.9%	35.9%	23.5%	9.2%	20.4%	5.6%	-8.7%	32.5%	7.7%
EPS - Diluted	21.3%	-9.1%	36.0%	26.3%	13.1%	22.9%	6.3%	-7.7%	34.3%	8.6%
Diluted shares	0.3%	0.0%	-0.3%	-2.1%	-3.4%	-2.1%	-0.3%	-0.9%	-1.5%	-0.8%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 22: **SAP Balance sheet**

€ Millions, except otherwise noted

Balance sheet	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	Q126	Q226	Q326E	Q426E
Assets										
Cash & short-term investments	8,124	9,609	8,220	12,062	16,758	25,222	9,648	10,511	10,569	12,062
Trade and other receivables	6,361	6,774	6,675	7,232	8,483	9,980	8,575	7,076	6,158	7,232
Prepaid expenses/deferred charges	-	-	-	-	-	-	-	-	-	-
Tax assets	344	707	598	680	680	680	451	680	680	680
Other	5,702	4,311	4,764	4,381	4,381	4,381	3,581	4,381	4,381	4,381
Total current assets	**20,531**	**21,401**	**20,257**	**24,355**	**30,302**	**40,264**	22,255	22,648	21,789	24,355
Goodwill	29,088	31,147	29,014	30,408	30,408	30,408	29,488	30,408	30,408	30,408
Intangible assets, net	2,505	2,706	2,282	2,422	2,004	1,602	2,269	2,638	2,528	2,422
Property and equipment	4,276	4,493	4,497	4,785	5,408	6,123	4,477	4,504	4,638	4,785
Other	11,891	14,375	14,312	15,430	15,450	15,482	14,973	15,411	15,403	15,430
Total non-current assets	**47,760**	**52,721**	**50,105**	**53,045**	**53,270**	**53,615**	51,207	52,961	52,978	53,045
Total assets	**68,291**	**74,122**	**70,362**	**77,400**	**83,572**	**93,879**	**73,462**	**75,609**	**74,766**	**77,400**
Liabilities										
Trade and other Payables	1,775	1,990	2,431	1,876	1,933	2,183	2,548	2,747	1,905	1,876
Provisions	232	716	324	90	99	110	155	119	102	90
Deferred Income	5,026	5,978	6,581	7,109	8,005	8,166	10,113	9,843	7,295	7,109
Financial Liabilities	1,731	4,277	2,050	1,966	1,966	1,966	2,824	1,966	1,966	1,966
Other	5,812	6,118	5,864	6,870	7,636	8,763	5,180	5,059	6,317	6,870
Total current liabilities	**14,576**	**19,079**	**17,250**	**17,912**	**19,639**	**21,188**	**20,820**	**19,734**	**17,586**	**17,912**
Financial Liabilities	7,945	7,169	6,021	8,653	8,890	9,115	5,038	8,541	8,598	8,653
Other	2,405	2,065	1,854	2,247	2,481	2,717	2,241	2,086	1,933	2,247
Total Non current liabilities	**10,350**	**9,234**	**7,875**	**10,900**	**11,370**	**11,831**	**7,279**	**10,627**	**10,530**	**10,900**
Total liabilities	**24,926**	**28,313**	**25,125**	**28,812**	**31,009**	**33,020**	**28,099**	**30,361**	**28,116**	**28,812**
Equity										
Issued Capital	1,229	1,229	1,229	1,229	1,229	1,229	1,229	1,229	1,229	1,229
Treasury Shares	(4,741)	(5,954)	(6,948)	(11,440)	(15,440)	(17,440)	(9,211)	(9,190)	(10,440)	(11,440)
Share Premium	1,846	2,564	2,778	3,488	4,824	6,372	2,741	2,969	3,124	3,488
Retained Earnings	42,417	42,907	47,511	53,650	60,289	69,038	49,279	48,579	51,076	53,650
Accumulated other comprehensive loss & Other	2,365	4,695	179	1,155	1,155	1,155	823	1,155	1,155	1,155
Equity Attributable to Owners of parent	**43,116**	**45,441**	**44,749**	**48,081**	**52,057**	**60,353**	44,861	44,742	46,144	48,081
Non-controlling interests	249	368	488	506	506	506	502	506	506	506
Total equity	**43,365**	**45,809**	**45,237**	**48,587**	**52,563**	**60,859**	**45,363**	**45,248**	**46,650**	**48,587**
Liabilities and Equity	**68,291**	**74,122**	**70,362**	**77,400**	**83,572**	**93,879**	**73,462**	**75,609**	**74,766**	**77,400**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 23: **SAP Cashflow statement**

€ Millions, except otherwise noted

Cash flow statement	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	Q126	Q226	Q326E	Q426E
Net Income	6,326	3,152	7,492	9,228	9,703	11,743	1,946	2,211	2,497	2,574
Depreciation and Amortization	1,373	1,280	1,311	1,291	1,355	1,402	305	316	335	334
Other	(1,384)	788	354	571	2,027	1,803	1,262	626	(1,221)	(96)
Cash flow from operations	**6,315**	**5,220**	**9,157**	**11,089**	**13,084**	**14,947**	**3,513**	**3,153**	**1,611**	**2,812**
Business combinations	(1,259)	(1,114)	(702)	(991)	-	-	(2)	(989)	-	-
Net investments in PP&E and intangibles	(686)	(675)	(618)	(774)	(1,041)	(1,194)	(206)	(93)	(229)	(245)
Other	2,851	1,132	354	369	-	-	1,030	(661)	-	-
Cash flow from investing	**906**	**(657)**	**(966)**	**(1,396)**	**(1,041)**	**(1,194)**	**822**	**(1,743)**	**(229)**	**(245)**
Dividends paid	(2,408)	(2,566)	(2,745)	(2,911)	(3,063)	(2,994)	(5)	(2,906)	-	-
Share buyback	(949)	(2,106)	(1,937)	(4,850)	(4,000)	(2,000)	(2,279)	(321)	(1,250)	(1,000)
Borrowings	(4,068)	1,582	(3,189)	2,386	-	-	(500)	2,886	-	-
Payments of lease liabilities	(325)	(310)	(299)	(265)	(284)	(295)	(59)	(58)	(73)	(74)
Other	24	(11)	(574)	(302)	-	-	(191)	(111)	-	-
Cash flow from financing	**(7,726)**	**(3,411)**	**(8,744)**	**(5,942)**	**(7,347)**	**(5,289)**	**(3,034)**	**(510)**	**(1,323)**	**(1,074)**
FX	(379)	333	(835)	90	-	-	127	(37)	-	-
Net change in cash and cash equivalents	**(884)**	**1,485**	**(1,388)**	**3,842**	**4,697**	**8,464**	**1,428**	**863**	**58**	**1,492**
Cash and cash equivalents at beginning of period	9,006	8,124	9,609	8,220	12,062	16,758	8,220	9,648	10,511	10,569
Cash and cash equivalents at end of period	8,124	9,609	8,220	12,062	16,758	25,222	9,648	10,511	10,569	12,062

Source: Company reports, Bernstein estimates and analysis

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY

SAP SE

We value SAP.GR shares based on our estimate for 12-month EPS in 1 year’s time (€9.57), apply a P/E multiple of 28x, and add net cash per share of (€5.1), arriving at price target of €273.

We then value the SAP ADR shares at $319, using the SAP GR price target of €273 and the EUR/USD FX rate at the time of updating the model.

SAP SE

We value SAP.GR shares based on our estimate for 12-month EPS in 1 year’s time (€9.57), apply a P/E multiple of 28x, and add net cash per share of (€5.1), arriving at price target of €273.

We then value the SAP ADR shares at $319, using the SAP GR price target of €273 and the EUR/USD FX rate at the time of updating the model.

RISKS

SAP SE

Risks to our price target for SAP ADR include: slower than expected adoption of S4/HANA; lower than expected upsell into existing customers of additional modules and SaaS solutions; lower than expected growth of SAP SaaS offerings; lower than expected adoption of SaaS S4/HANA; slower migration of SAP's Cloud offerings to the hyperscale providers; issues with SAP driving margin improvement.

SAP SE

Risks to our price target for SAP.GR include: slower than expected adoption of S4/HANA; lower than expected upsell into existing customers of additional modules and SaaS solutions; lower than expected growth of SAP SaaS offerings; lower than expected adoption of SaaS S4/HANA; slower migration of SAP's Cloud offerings to the hyperscale providers; issues with SAP driving margin improvement.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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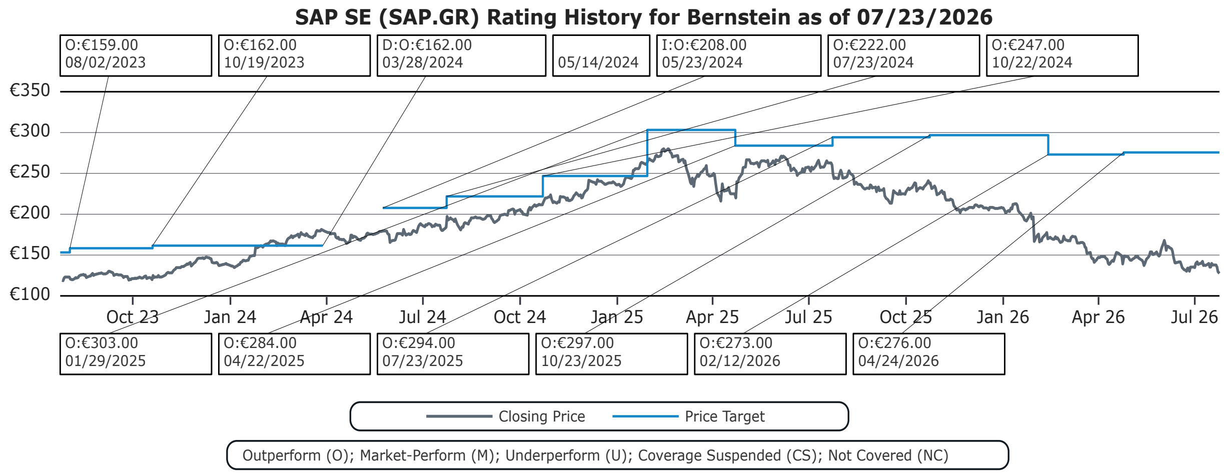

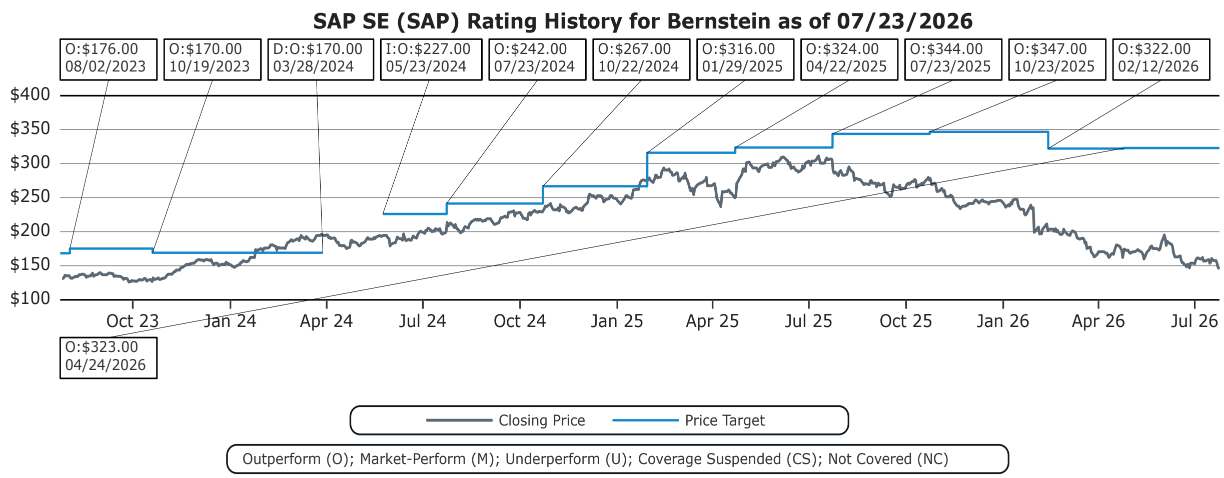

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